Class 15

Women, Work, and Family

Part III — Mobilizing People and Expanding Opportunity

The American Economy — draft course materials (proposal under discussion)

The point of today's class

The twentieth-century rise of women's education and market work dramatically expanded America's effective human capital and economic opportunity — while changing marriage, fertility, household production, wages, and the meaning of work–family choice.

Why it matters

- Start with a measurement puzzle — which of these count in GDP?

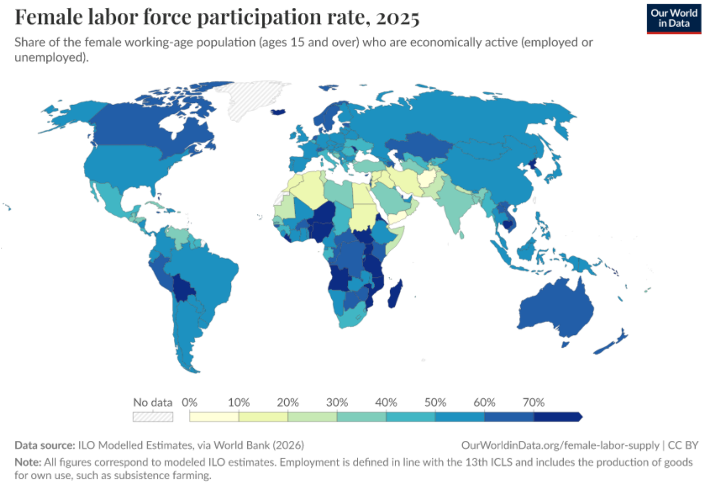
Activity	In GDP?
Paid childcare	Yes
A parent caring for their own child	No
A restaurant meal	Yes
Cooking dinner at home	No

- Households are economic institutions: they produce care, meals, children, health, education, and human capital — much of it invisible to GDP.
- Ramey and Francis: over the last century, *total* work changed far less than market-hours charts imply — when women entered paid work, the economy **reorganized time**, and some measured "growth" was work moving from home to market.
- Women's economic history is partly a measurement problem (Class 2: GDP is not welfare).

Today

1. Goldin's long-run story: the U-shape and the Quiet Revolution
2. Human capital and the great reallocation of talent
3. Institutions and technology opened the doors
4. The gender wage gap and "greedy work"
5. Children and family tradeoffs
6. Fertility and the future

Women's labor-force participation, 1890–present



Source: Goldin (2024), Nobel Lecture — the U-shaped curve and the Quiet Revolution.

Goldin's Quiet Revolution

- Goldin corrected the historical record: married women's work was undercounted — the census listed the occupation "wife" even when women worked in agriculture, family businesses, and cottage industry.
- The **U-shape**: participation was high in parts of the preindustrial economy, fell with industrialization, then rose again.

Period	Main change
1800s	Home, farm, and family production; much work undercounted
Early 1900s	Clerical, teaching, nursing, and office work expand
Mid-1900s	Married women's work rises; services grow
1970s onward	Education, expectations, fertility control, careers

- So growth did **not** automatically raise women's market work — technology, norms, family structure, and institutions all interact.

Human capital and the great reallocation of talent

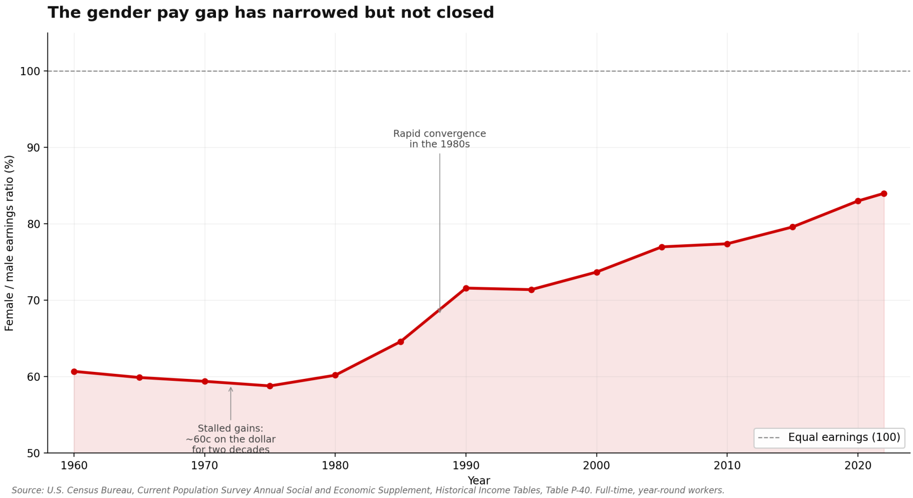
- The college gender reversal: women were 39% of U.S. undergraduates in 1960; today they are the majority of college students and bachelor's recipients (Goldin, Katz, and Kuziemko).
- The gains were not just about "working more" — women accumulated human capital and entered higher-skill occupations.
- Hsieh, Hurst, Jones, and Klenow: better allocation of talent among women and Black Americans explains roughly **20 to 40 percent** of growth in U.S. output per person from 1960 to 2010.
- One of the biggest modern growth stories: people once blocked from many jobs increasingly using their talents where they are most productive.

Institutions opened the doors

Institution or change	Economic meaning
Married Women's Property Acts	Married women gain property rights
Earnings acts	Women keep their own wages
Suffrage	Political voice
Anti-discrimination law	Labor-market access
Equal credit access	Ability to borrow and own
Education access	Human capital
Contraception access	Timing of school, marriage, fertility
Childcare markets	Compatibility of family and market work

- Mississippi passed an early Married Women's Property Act; state reforms spread the rights to own property, keep earnings, and do business.
- Bailey, Hershbein, and Miller: younger legal access to the pill changed human-capital investment — roughly an 8% hourly wage premium by age 50. (An economic claim about timing and investment, not a moral claim about contraception.)

The gender wage gap, 1960–present



Source: Bureau of Labor Statistics, Current Population Survey.

The raw gap is a fact, not an explanation

- BLS 2024: median weekly earnings of full-time workers were $1,043 for women vs. $1,261 for men — a ratio of 82.7%. For workers 25 and older, the ratio rose from 75% (2000) to 82% (2024).
- Behind the raw gap: education, experience and career interruptions, occupations, hours, flexibility, family responsibilities, discrimination, and firm structure. It cannot be read off one chart.
- Goldin's "last chapter": much of the remaining gap reflects **greedy work** — jobs that pay big premiums for long, fixed, unpredictable hours (law partner vs. pharmacist; investment banker vs. shift-working nurse).
- The gap would shrink if firms had less incentive to reward constant availability — the last chapter is about **jobs** changing, not only women.

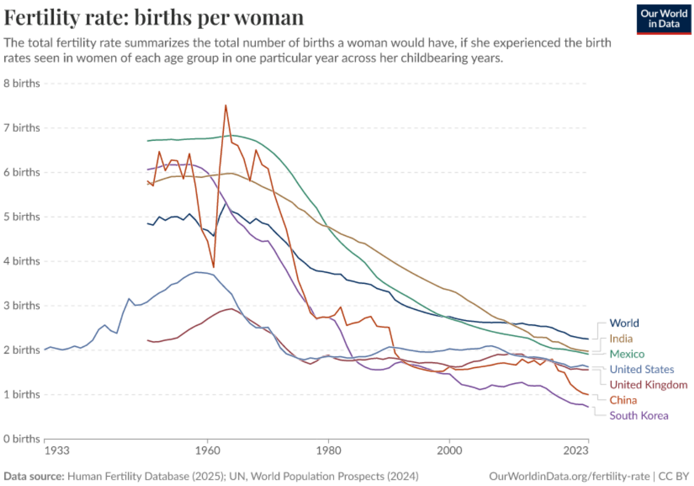
Children and the child penalty

- BLS 2025: 73.9% of mothers with children under 18 are in the labor force, vs. 93.7% of fathers.
- Mothers with children under 6: 68.0%, vs. 78.2% when the youngest is 6–17.
- Kleven, Landais, and Søgaard (Denmark): the arrival of children creates a long-run earnings gap of roughly **20%** — through participation, hours, wage rates, and occupation and firm choices.
- Households choose among real tradeoffs: one earner specializes; both work full time; both reduce hours; children come later or fewer.
- Economics shows the incentives, constraints, and consequences — it does not prescribe which family model is best.

U.S. total fertility rate, 1909–present

Source: Centers for Disease Control and Prevention, National Center for Health Statistics.

Fertility rates have fallen worldwide



Source: Our World in Data, based on UN World Population Prospects. CC-BY 4.0.

Fertility is an economic choice too

- Three big U.S. moments: the pre-baby-boom decline, the baby boom, and modern low fertility.
- Global fertility: 2.3 children per woman in 2023, down from 4.9 in the 1950s — roughly halved, with many countries below the replacement benchmark of about 2.1.
- Becker's quantity–quality tradeoff: as incomes rise, parents invest more per child — and children become more expensive as time, education, and foregone opportunities grow more valuable.
- Close to home: Utah — long America's highest-fertility state — has now fallen below replacement.
- Why it matters ahead: population aging, Social Security and Medicare, schools, housing, labor-force growth, immigration.
- Balance: low fertility can reflect choice, opportunity, and prosperity — but sustained very low fertility raises real fiscal and social questions.

Discussion

A household has two adults and one child. What happens to its time allocation if wages rise for one adult? If childcare gets cheaper? If one job carries a huge long-hours premium? If the family wants another child? And — what does GDP count, and what does it miss?

Read before next class

- Goldin (2006), "The Quiet Revolution That Transformed Women's Employment, Education, and Family" — the narrative anchor.
- Goldin (2014), "A Grand Gender Convergence: Its Last Chapter" (skim) — greedy work and the modern wage gap.